

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (10 marks – approximately 18 minutes)

Bright Technology ("BT") is an IT solution firm which was founded in Hong Kong in 1984. Since its establishment, BT has become the leader in the Hong Kong market.

Tom Ho is the General Manager of the Marketing and Sales Department of BT. However, he recently noticed that the productivity and performance of one of the Account Executives are not satisfactory. The Account Executive was not able to maintain a good relationship with existing clients and thus, the clients chose another company for IT solution. Moreover, no new client has been secured. He has decided to discuss this issue with the Human Resources Department and see if there is any problem with the selection process or if that Account Executive was really a good fit for the position.

The Human Resources Department has provided brief information about the job duties and requirements for this position - see below:

Job duties and requirements:

- Filing and documentation
- Maintaining relationship with clients
- Dealing with some ad hoc projects
- Bachelor degree holder
- At least three years of relevant work experience
- Flexible and outgoing
- Fluent in English and Mandarin

Required:

- (a) **Define person-job fit.** (2 marks)
- (b) **State and explain any FOUR selection methods that BT can adopt for the Account Executive position.** (8 marks)

Question 2 (10 marks – approximately 18 minutes)

Simply Snack ("SS") is a snack company that sells snacks to local customers in Country A. It operates across different cities and has more than 50 stores. Because of the boom of the culture of Country A over the world, SS is preparing for its international expansion.

SS would like to start its expansion with the nearest countries first because SS believes that the national culture should be similar. Country B and Country C would be the first two choices. To do so, SS has hired Chris to be the General Manager to manage the international expansion. Chris thought that it would be easier for SS to enter these two countries by selling their snack products to the distributors and supermarket chains in Country B and Country C, so he has contacted several targets for this arrangement.

However, the distributors were worried about all the issues related to the origin of the products. Both Country B and Country C have had historical conflicts with Country A in the past, so some local citizens in Country B and Country C have boycotted the products manufactured in Country A before. Moreover, Chris was not familiar with the policies of selling products in the host countries and this further creates troubles to the expansion. Worse still, the products themselves are the traditional snack of Country A and Chris was not sure about the issue of previous warfare between Country A, Country B, and Country C. On the packing of the products, all ingredients were shown in the language of Country A and thus, Chris was also considering if the package needs redesigning.

Required:

- (a) Identify the approach that SS used to enter the business in Country B and Country C.
(1 mark)
- (b) State and explain THREE issues mentioned in the case information that Chris faced during the start of his international trade.
(9 marks)

Question 3 (10 marks – approximately 18 minutes)

Moto is a Japanese car manufacturer which has been famous in the world for many years. It has launched many models with high appeal and demand, ranging from sports cars, family cars, sport utility vehicles, etc. The prices of these models have been set at a low to medium range, with an image of worth for money.

However, their cars are not able to compete directly with some other European luxury car makers like Glorious and GENS. Those high-end customers do not associate well with the existing Moto brand and thus have not considered buying a Moto even though the performance and level of comfort may be quite comparable with the European luxury brands.

Moto sees an opportunity to target the premium market segment by producing and launching a totally new brand called Avenger with clear brand and product differentiation strategies. Avenger has a complete fresh look and feel with a full range of car designs. This brand is positioned as the premium brand over Moto with higher performing and luxury line-ups to compete with the luxury European brands.

Required:

- (a) Based on product positioning map, illustrate the brand of Avenger.
(2 marks)
- (b) State and describe any FOUR promotion activities that Avenger can adopt.
(8 marks)

Question 4 (10 marks – approximately 18 minutes)

Extreme Sports Event Management Company ("Extreme Sports") is a world-class sports event management company. It has experience in organising a range of sports events on the sea, in the mountains, or on the world by utilising its skilful workforce and knowledge in sports.

Its current event project is to organise a marathon in July with different events, including 10K, half marathon, and full marathon for men and women. It is believed that July is the typhoon season and some of the previous typhoons have caused huge damages to the city where the marathon will be held. To ensure the event can be run smoothly, Extreme Sports has hired you as a major member in the crisis management team. You need to develop a crisis management plan for this event.

Required:

- (a) Define crisis management. (1 mark)
- (b) Explain the crisis management process with examples for the marathon event organised by Extreme Sports. (9 marks)

Question 5 (20 marks – approximately 36 minutes)

With more than 150 hotels in different countries, Romantic Hotels Group ("RH") aims to deliver exceptional guest experiences. Through the values of integrity, passionate, excellence, and leadership, RH aims to become the world leader in the hospitality industry.

The mission statement of RH is "As a business of serving people, our service is beyond the boundary of people, culture, and everything". As such, RH has emphasised delivering excellent services to the guests, aiming to provide the best memory and experiences before, during, and after their stay in RH.

The top management has recently projected that there will be a boom in the tourism industry, RH would like to develop its brands as well, aiming to provide reasonable price but excellent services to their guests.

Peter Lo, the Chief Financial Officer, understands that this requires better financial risk planning and control procedures to ensure the smooth development of RH. Moreover, it is important to display a healthy financial performance to their shareholders.

Required:

- (a) **State and describe any TWO elements of service concept. Then explain with examples how RH applies the TWO elements you mentioned.**
(8 marks)
- (b) **State and describe any THREE techniques to measure and interpret financial risks facing RH.**
(6 marks)
- (c) **When making financing decision for the future development of RH, list and summarise any THREE factors that the Chief Financial Officer needs to take into consideration.**
(6 marks)

Question 6 (20 marks – approximately 36 minutes)

Cup Daily ("CD") is a retailer selling coffee beans and coffee products. To ensure the finest quality of coffee beans, they have forged a good relationship with the coffee bean farmers from various places, for examples, Argentina, Brazil, etc. The coffee beans are then transported to its manufacturing plants to process and pack. In the manufacturing plants, CD uses automation and efficient manufacturing layout to speed up the operation.

All processes and packed coffee beans products are then transported to logistics centres to maintain quality products from sourcing to the end users. CD operates in Hong Kong, Japan, and Taiwan through company-owned stores or licensees.

It also adopts efficient and automatic delivery network to ensure reliable and secured storage and delivery of the products either from the coffee beans farmers to the manufacturing plants or from the plants to the stores and end users.

Recently, CD found that the cost of coffee beans storage is extremely high, which seriously affects the profits generated. Therefore, the Operation Manager would like to adopt a just-in-time system to solve the high storage cost problem.

Required:

- (a) Identify and explain the THREE types of primary activities described in the information provided by CD.
(6 marks)
- (b) It is important to understand the external environment when running a business. Based on PESTLE analysis, state and illustrate any THREE of the elements of PESTLE for CD.
(6 marks)
- (c) Define the just-in-time system.
(2 marks)
- (d) Explain ONE major advantage of adopting just-in-time system, and TWO potential disadvantages for CD.
(6 marks)

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